Oxford Cambridge and RSA

Predicted Paper 2 — Advanced

A Level Economics

H460/02 Macroeconomics

Time allowed: 2 hours

You can use:

- a scientific or graphical calculator

Centre number		Candidate number	
First name(s)			
Last name			

INSTRUCTIONS

- Use black ink. You can use an HB pencil, but only for graphs and diagrams.
- Write your answer to each question in the space provided. If you need extra space use the lined pages at the end of this booklet. The question numbers must be clearly shown.
- Answer all the questions in Section A, one question in Section B and one question in Section C.

INFORMATION

- The total mark for this paper is 80.
- The marks for each question are shown in brackets [ ].
- Quality of extended response will be assessed in questions marked with an asterisk (*).
- This document has 20 pages.

ADVICE

- Read each question carefully before you start your answer.

Section A

Read the stimulus material and answer all the parts of Question 1.

Argentina's macroeconomic instability

Argentina has a long history of macroeconomic instability. Between 2018 and 2023, the country experienced multiple currency crises, sovereign debt defaults and periods of extremely high inflation. Annual inflation exceeded 50% in 2021, rose above 100% in 2022 and reached 211% by the end of 2023 — one of the highest rates in the world. Over the same period, the Argentine peso depreciated from around 30 pesos per US dollar in early 2018 to over 800 pesos per US dollar by December 2023 (official rate).

High inflation and currency depreciation have significantly eroded household purchasing power. It is estimated that over 40% of Argentina's population were living below the national poverty line by 2023. The country's central bank raised its policy interest rate to 133% in October 2023 to combat inflation. Real interest rates — the policy rate adjusted for inflation — were, however, still deeply negative for most of the period.

Argentina has received multiple loan packages from the International Monetary Fund (IMF). In 2018, it received the largest single IMF loan in the Fund's history (US$57 billion). In 2022, the country agreed a refinancing programme with the IMF. Loans from the IMF typically come with conditions requiring fiscal consolidation, structural reform and the building up of foreign currency reserves. Fig. 1 shows average annual currency depreciation against the US dollar and average annual inflation rate, 2019–2023, for six emerging economies.

Fig. 1

Average annual currency depreciation against the US dollar and average annual CPI inflation rate, 2019–2023 (%)

Country	Avg. currency depreciation (%/yr)	Avg. CPI inflation (%/yr)
Argentina	74.2	94.7
Turkey	42.8	41.6
Brazil	8.2	7.1
Mexico	2.1	5.4
Indonesia	3.4	3.6
India	3.0	5.6

Argentina's export performance has been a source of foreign currency but is highly concentrated in primary commodities — principally soybeans, beef and maize — making the country vulnerable to global commodity price fluctuations and drought. In 2023, Argentina's export price index was 152.4 and its import price index was 168.0. Argentina has also imposed strict capital controls restricting access to foreign currency, creating a black-market exchange rate that trades at a substantial premium to the official rate.

Table 1 shows real GDP growth and the unemployment rate for six countries that have received IMF financial assistance in recent years. Some economists argue that IMF-imposed conditions often deepen recession in the short term, although supporters maintain that the alternative — uncontrolled default — would be worse.

Table 1

Real GDP growth rate and unemployment rate in six IMF programme countries, 2023

Country	Real GDP growth (%)	Unemployment rate (%)
Argentina	−1.6	7.3
Pakistan	−0.2	8.5
Sri Lanka	−2.3	4.7
Ghana	2.9	3.9
Egypt	3.8	7.1
Kenya	5.6	5.7

Debate continues within Argentina about the appropriate policy response. Some economists have argued for "dollarisation" — formally adopting the US dollar as legal tender — to impose external discipline on monetary policy. Others advocate structural reform of public expenditure, privatisation of loss-making state firms and removal of subsidies on energy and transport. Critics point out that fiscal austerity can further depress output, widen poverty and provoke political instability. Debates over the optimal policy mix highlight fundamental tensions between stabilisation, growth, distributional equity and political sustainability.

1 (a) Using information from the stimulus material, identify two causes of Argentina's currency depreciation.

Cause 1 ....

....

Cause 2 ....

....

[2]

(b) Using information from the stimulus material, calculate to one decimal place Argentina's real interest rate when its policy interest rate was 133% and inflation was 211%. (Use the approximation: real rate ≈ nominal rate − inflation rate.)

[1]

(c) Explain whether the relationship shown in Fig. 1 between currency depreciation and inflation is the expected one.

[3]

(d) Using Table 1, explain the relationship between real GDP growth and unemployment in IMF programme countries.

[4]

(e)* Using information from the stimulus material, evaluate whether a depreciation of the Argentine peso is likely to improve the country's current account on the balance of payments.

[8]

(f)* Using information from the stimulus material, evaluate whether IMF loans are likely to benefit developing economies such as Argentina.

[12]

Section B

Answer Question 2 or Question 3.

2* Following a prolonged period of low interest rates and large-scale asset purchases, several major central banks have embarked on quantitative tightening to reduce the size of their balance sheets.

Evaluate, with the use of an appropriate diagram(s), whether quantitative tightening is an effective policy to reduce inflation.

[25]

OR

3* Government debt as a percentage of GDP has risen to historically high levels in many advanced economies since 2008.

Evaluate, with the use of an appropriate diagram(s), whether high levels of government debt necessarily harm an economy's long-run economic growth.

[25]

Question No. ....

Section C

Answer Question 4 or Question 5.

4* Protectionist measures such as tariffs and quotas have been used increasingly by some major economies in recent years.

Evaluate whether free trade benefits all countries that participate in it.

[25]

OR

5* In pursuit of their macroeconomic objectives, central banks frequently face short-run trade-offs between inflation and unemployment.

Evaluate whether central banks should always prioritise the control of inflation over the pursuit of low unemployment.

[25]

Question No. ....

END OF QUESTION PAPER

EXTRA ANSWER SPACE

If you need extra space use these lined pages. You must write the question numbers clearly in the margin.